Two American Economists Win the Nobel Prize in Economics

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Two American-born **economists**, Robert E. Hall and Michael Woodford, have won this year's Nobel memorial prize in economics. The winners were announced Monday in Stockholm, Sweden, by the Royal Swedish Academy of Sciences.

Economics is the study of how people, businesses and governments make choices about money, jobs and goods. Hall and Woodford were honored for creating models that help governments and **central banks** deal with economic **shocks**. A central bank is a country's main bank, which helps manage money and interest rates. **Shocks** are sudden changes, such as an energy crisis or a quick change in how much families spend.

"The **laureates** have helped us smooth out the economy's peaks and troughs," the academy said. In other words, their work helps keep the economy from swinging too far up or down.

For decades, many governments followed the ideas of a British economist named John Maynard Keynes. When the economy slowed, governments lowered taxes and spent more money to help growth start again. But in the 1970s, many countries faced high prices and high **unemployment** at the same time. That showed the old ideas were too simple.

Working separately, Hall and Woodford built better models that consider how people and businesses actually decide whether to spend or **invest**. John Hassler, who leads the prize committee, said their work gave a stable foundation for models now used by **central banks** and governments around the world.

Woodford spoke to the committee by phone from New York. "It's a tremendous honour, it's a surprise," he said.

The economics prize was created in 1968 by Sweden's central bank in memory of Alfred Nobel. It is presented with the other Nobel Prizes on Dec. 10.

Word Treasure

economists -- Experts who study how money, jobs and goods move through a society.

central banks -- A country's main banks, which help manage its money and interest rates.

shocks -- Sudden, unexpected changes that shake up the economy.

laureates -- People who have won a major prize or honor, such as a Nobel Prize.

unemployment -- When people who want jobs cannot find work.

invest -- To put money into something, like a business, hoping it will grow or earn more later.

Background you need

The Nobel Prizes are among the world's best-known awards, created in memory of Alfred Nobel to honor major achievements in science, literature and peace.

The economics prize was added later by Sweden's central bank and is awarded alongside the other Nobel Prizes.

Economists build models, which are simplified descriptions of how an economy works, to predict what might happen when something suddenly changes.

Governments and central banks use these predictions when deciding how to respond to problems like rising prices or falling spending.

Break it down

LEAD: Two American-born economists win the Nobel memorial prize in economics
KEY EVENT: Robert E. Hall and Michael Woodford honored for models that help manage economic shocks
+- WHO: Hall, Woodford and the Royal Swedish Academy of Sciences
+- WHEN/WHERE: Announced Monday in Stockholm, Sweden
BACKGROUND: Governments long followed John Maynard Keynes's ideas, but 1970s high prices plus high unemployment showed they were too simple
EVIDENCE: Committee leader John Hassler says their work is the foundation for models used by central banks worldwide
REACTION: Woodford calls it a tremendous honour and a surprise
CONTEXT: Prize created in 1968 by Sweden's central bank and presented on Dec. 10

Why it matters

When energy crises or sudden spending changes hit, better economic models help governments and central banks protect jobs and keep prices steadier for families.

Test what you remember

1. Who won this year's Nobel memorial prize in economics?

- (A) John Maynard Keynes and Alfred Nobel
- (B) John Hassler and Michael Woodford
- (C) Robert E. Hall and John Hassler
- (D) Robert E. Hall and Michael Woodford

2. Where were the winners announced?

- (A) Stockholm, Sweden
- (B) London
- (C) Geneva
- (D) New York

3. What did the winners' models help governments and central banks deal with?

- (A) Election results
- (B) Economic shocks
- (C) Weather forecasts
- (D) School funding

4. What happened in the 1970s that showed older economic ideas were too simple?

- (A) Prices fell while everyone had jobs
- (B) Central banks stopped working
- (C) Many countries had high prices and high unemployment at the same time
- (D) Taxes were removed everywhere

5. How did Woodford react to winning?

- (A) He did not comment
- (B) He said it was a tremendous honour and a surprise
- (C) He refused the prize
- (D) He said he expected it

6. Who created the economics prize in 1968?

- (A) Alfred Nobel himself
- (B) Sweden's central bank
- (C) The U.S. government
- (D) The United Nations

Answer key (try the quiz first!): 1: D 2: A 3: B 4: C 5: B 6: B

Questions to think about

1. Royal Swedish Academy of Sciences: Says the laureates helped smooth out the economy's peaks and troughs.

2. John Hassler (prize committee leader): Says their work gave a stable foundation for models now used by central banks and governments around the world.

3. Michael Woodford (winner): Called the prize a tremendous honour and a surprise.

MY THOUGHTS (at least 20 words):